NVIDIA Corporation

NVDA NASDAQ

Buy	$211.90 ▼ 0.15%	12M Price Target $260.00	52-Week Range $164.27 – $243.37	Market Cap $5.12T

NVDA: Catching Breath After Rally, Policy Winds Still Favorable

WHAT HAPPENED

- Stock drifted down ~0.15% on light volume (42M shares vs usual 90M+) — this is a nothing day, basically traders taking a breather after Tuesday's 4% drop from $221 to $212. No news, no filings, just digestion.
- The options market is lit up with near-term puts at the $212.50 strike — someone big is either hedging or betting on more downside in the next week. Worth noting but not panic-worthy; could just be a hedge against earnings season volatility.

WHY IT MATTERS

Here's what the tape is telling you: NVDA ran hard into the $221 level and got rejected, now consolidating around $212. That's healthy — stocks that go straight up without pullbacks are the ones that crash. The put-heavy options flow (someone bought ~110K puts at $212.50 in two blocks) likely means institutions are hedging into earnings, NOT a conviction short — if real money wanted out, you'd see insider cluster selling, and you're not. The bigger picture: we're mid-cycle in a trillion-dollar AI infrastructure buildout, hyperscalers (Microsoft, Google, Meta, Amazon) just reaffirmed massive 2026 cap-ex budgets, and the Trump administration's AI dominance push gives this a political wind at its back. Dips in this environment are gifts, not warnings.

POLICY & POLITICAL WATCH

Two things to track: First, the ongoing US-China chip export framework — the administration has been using Nvidia's China-tuned chips (the H20 and successors) as a bargaining chip in trade talks, and any hardening of restrictions could knock 10-15% off revenue (China was ~13% of sales pre-restrictions). Second, the "AI Action Plan" rolled out earlier this year explicitly favors domestic AI infrastructure buildout and streamlined permitting for data centers — that's a direct subsidy to NVDA's customer base. Also watch the CHIPS Act reauthorization chatter in Congress; expansion means more domestic fab capacity (good for supply chain resilience), while any clawback talk would spook the whole sector.

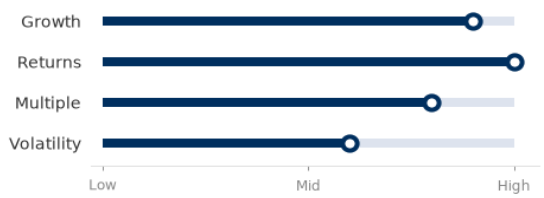
IS IT EXPENSIVE?

At $5.1T market cap and roughly 36x forward earnings, you're paying $36 for every $1 of profit the company is expected to make next year. That sounds expensive, but Nvidia is growing earnings 50%+ annually — compare that to the S&P at ~22x growing single digits. The honest take: it's not cheap, but it's not insane either given the growth. The risk isn't the multiple — it's whether the growth story holds up. If AI cap-ex keeps compounding, this stock looks reasonable in hindsight. If hyperscaler spending plateaus in 2027, the multiple compresses fast.

Key Data

Price (USD)	**$211.90**
12M Price Target	**$260.00**
Upside / (Downside)	**+22.7%**
Market Cap	**$5.12T**
FY2027E Revenue	**$235M**
FY2028E Revenue	**$295M**
FY2027E EPS	**$5.85**
FY2028E EPS	**$7.40**
Fwd P/E	**36.2x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

NVDA — NVIDIA Corporation | October 23, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$230.00**	$218.00	**$195.00**
6 Months	**$265.00**	$240.00	**$180.00**
1 Year	**$310.00**	$260.00	**$170.00**
2 Years	**$380.00**	$300.00	**$160.00**
5 Years	**$550.00**	$400.00	**$180.00**
10 Years	**$900.00**	$600.00	**$200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.66%) is ripping — this is actually AI-adjacent because data centers need enormous power, and natural gas / nuclear names are being bought as the "picks and shovels" of AI infrastructure. Tech holding up modestly despite the broader risk-off tone.

COOLING OFF: Healthcare (-1.04%) and Utilities (-0.94%) selling off — classic defensive rotation unwinding, which usually means money is going INTO growth/cyclicals, not away from them.

ROTATION WATCH: Money's flowing out of defensives and into energy/AI infrastructure plays. That's a risk-on signal and it's constructive for NVDA even on red days like today.

RELATED PLAY: If you believe the AI buildout thesis, the second-order winners are power generators (VST, CEG, NRG), data center REITs (EQIX, DLR), and electrical equipment makers (ETN, VRT). These benefit even if NVDA's margins compress because they sell to EVERY AI player, not just one.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Riding custom AI silicon partnerships with hyperscalers — the "picks and shovels" alternative to NVDA.
- VRT (Vertiv): Data center cooling and power infrastructure — pure play on AI buildout without chip-cycle risk.

NVDA CONTEXT: NVDA is slightly lagging the broader AI complex this week because it ran so hard into October. That's not a weakness signal — it's mean reversion. When the leader rests and the ecosystem keeps running, that's actually bullish; it means the thesis is intact and money is rotating within AI, not out of it.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: $205-212 on pullbacks, aggressive adds under $200

Time Horizon: 12-24 months

Thesis Invalidation: Hyperscaler cap-ex guidance cuts, China export ban expansion, or Blackwell/Rubin demand slowdown

Hedging: Buy protective puts around earnings or pair with short on a weaker semi name like INTC

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